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Presented by
Mr. Nobufumi Miura
Chairman

Today, on behalf of JCCI, I would like to highlight the significance of prioritizing certain agendas so that Viet Nam, a country with potential growth, can continue to improve the investment environment to its fullest. Therefore, I would like to propose the following 5 points, “Environmental Protection”, “PPP (Public-Private-Partnership) Law, “Construction of Global Value Chain”, “Human Resource Development” and “Legal Stability and Investment Incentives” that heavily affects the outcome of Viet Nam investment environment.

First point, “Environmental Protection”.

As of 2019, Hanoi City showed the worst value in the “Air Quality Index” (AQI), followed by HoChi Minh City, the third. Concerns are raising from the pollution of air in both rural and urban areas of Vietnam, a result of giving excessive priority to economic development without considering environmental countermeasures. It is estimated that 5% of the GDP would be lost due to air pollution, this indicates a possibility of a decrease in investments from foreign companies. By promoting and enforcing standardized development of laws and regulation, the quality of air in enclosed areas where people spend most of the day, would tremendously improve AQI, leading to reduction in health hazards.

Thus, Viet Nam should learn from the Japanese as they have experienced a similar situation such as the "Polluted Islands" in the 1970s. By referring to past cases that have succeeded in achieving both industrialization and environmental protection, it is possible to achieve growth in Viet Nam investment with consideration to the environment by obtaining understanding and support from foreign companies, enabling Vietnam to be a role-model to emerging countries.

As such, we would like to request the Government of Viet Nam to set clear and standardized regulations such as "health priority over industry". Moreover, the Japanese companies are prepared to utilize their past experiences to provide Viet Nam with technical assistance and know-how to improve the environment. With the help of the Japanese companies, we believe this is Viet Nam’s growth strategy.

2ndly, “PPP”.

Currently, the shortage of power, roads, airports, and hospitals are also becoming a more serious problem in Viet Nam. we believe that the active implementation of PPP schemes will be useful to promote infrastructure development for solving these issues. However, it is important to establish the risk-sharing between the Government of Viet Nam and private sectors to ensure that there will be no unreasonable risk.

Henceforth, we would like the Government of Viet Nam to adopt the "Governing Law", "Government Guarantee", "State Capital Contribution" and "Termination Payment" as hastening PPP will improve the investment environment.

3rdly, construction of the Global Value Chain.

It is vital to foster and develop Vietnamese enterprises in the Global Value Chain. This way, it will enhance the attraction of overseas manufacturing bases and make developments in the manufacturing field sustainable. For foreign companies with manufacturing bases in Viet Nam, it is expected that nurturing Viet Nam companies participating in the Global Value Chain will lead to lower manufacturing costs. It has been set that the local procurement rate would increase to 30% by 2025 and 40% by 2030. Thus, the participation of Viet Nam companies in the Global value chain will strengthen the collaboration between Viet Nam and foreign companies. We would like the Viet Nam government to consider measures such as giving incentives to foreign companies when they achieve high local procurement rates and make the application process of, for example, subsidies for human resource development in Small and Medium enterprises stipulated in Decree 39/2018/ND-Cp simpler.

4thly, "Human Resource Development".

As Viet Nam is facing a shortage of engineers due to the entry of foreign companies and an increased number of companies in the manufacturing sector, trained engineers are needed in Viet Nam. In Japan, numerous Vietnamese work as technical interns or highly skilled professionals. However, there are situations whereby employees are being forced into a poor working environment. It is desirable to prepare an appropriate working environment so that these experienced employees who have learned in Japan can impart their skills to other Vietnamese engineers.

We would like to request the Government of Viet Nam to consider providing workers with a fair explanation of working conditions, refer them to work based on their expertise, collect fees appropriately and have qualifications submitted properly. We believe that a safer labor system in Viet Nam and secure work systems abroad would further improve the investment environment of Viet Nam.

Lastly, we would like to mention "Legal Stability and Investment Incentives".

There are still situations in which the rational interests of foreign companies and investors are not protected in the operation of this legal regulation. These are business risks that foreign companies cannot overlook and can be the reason why they are hesitating from investing further. If incentives given by the government are retroactively denied by tax authorities and provisions confirming such retrospective denials are repeatedly inserted into the draft investment law, incentives would be ineffective in promoting and attracting investments. Additionally, fences and cameras cannot be installed before the establishment of the company, and prior regulation could suddenly be stricken because of the issue of Decree82 on the provisions that already existed in the past. Also, Export Processing Enterprise (EPE) license would not be issued until after the establishment of the company. These are all outcomes that lack the legal stability of the government.

We would like to suggest to the Government of Viet Nam to development a pre-inquiry system for companies to contact the Government including tax authorities, for regulation inquiries related to incentives in advance, issue an EPE-licensing from the beginning of company establishment and adopt

a way to confirm compliance with Decree 82 by a post-audit to increase foreign direct investment and improve the investment environment.